

Revenue Model: Absorbent Menstrual Hygiene Waste Recovery

(Pads, Tampons, Period Panties)

Core principle: Payer ≠ User. This is a B2B/B2G circular-economy waste business, monetized across five linked streams running on one shared collection + processing infrastructure.

Stream 1: Weight-Based Collection Fees (Bulk Generators)

Who pays: Hospitals, maternity wards, elder-care homes, daycare centres

Pricing structure (tiered by contamination/segregation quality):

Tier	Segregation Quality	Rate
Tier A	Clean, pre-segregated at source	₹8-10/kg
Tier B	Mixed with minor contamination	₹11-13/kg
Tier C	Poor segregation, needs manual sorting	₹14-16/kg

- Billed monthly, based on smart-bin weight logs or weighbridge slips at pickup
- Volume discounts for contracts above 500 kg/month (5-8% off)
- **Why tiered pricing matters:** it creates a financial incentive for the generator to segregate better — which lowers *your* processing cost, so the incentive is self-reinforcing
- **Revenue share:** ~45-50% of total (largest volume driver)
- **Margin profile:** Lower margin (~15-20%) because it carries the collection logistics cost — but it's what keeps trucks full and routes viable

Illustrative example (mid-size city, moderate scale):

- 15 hospitals/maternity wards × avg 200 kg/month × ₹11/kg avg = ₹33,000/month per cluster
- Scale to 10 such clusters citywide → ~₹3.3L/month from this stream alone

Stream 2: Fixed Monthly Subscription (Institutional Pad Clients)

Who pays: Corporate offices, IT parks, malls, universities, housing societies

Pricing structure (flat fee per bin, by footfall tier):

Tier	Example Site	Bins	Monthly Fee/Bin
Small	Housing society, small office	1-3	₹1,500-2,000
Medium	Mid-size corporate floor, college	4-8	₹2,500-3,500
Large	Mall, university campus, IT park	10+	₹3,500-5,000

- Annual contracts (12-month minimum), paid monthly or quarterly in advance
- Includes bin servicing, sanitized replacement, and pickup on fixed schedule (not weight-dependent)
- **Why fixed-fee here works:** these clients want budget predictability, not a variable utility-style bill — this is what wins them over vs. asking for pay-per-kg
- **Revenue share:** ~20-25% of total
- **Margin profile:** Higher margin (~30-35%) — volume per bin is lower and predictable, so routing is efficient and low-variance

Illustrative example:

- 40 institutional clients × avg 5 bins × ₹2,800/bin/month = ₹5.6L/month

Stream 3: EPR Compliance-as-a-Service (Producers, Importers, Brand Owners)

Who pays: Sanitary pad, tampon, and period-panty manufacturers (e.g., Whisper, Stayfree, Nua, Sirona, Pee Safe, and importers)

This is your **highest-margin stream** — you're not collecting anything new, you're certifying volume you already collect under Streams 1 & 2, plus offering brands a compliance product.

Pricing structure:

Component	Structure
Annual compliance retainer	₹3-8 lakh/year depending on brand's market share/obligation size
Per-tonne recovery certification	₹15,000-25,000/tonne certified
Digital traceability dashboard access	Bundled into retainer, or ₹50,000-1L/year standalone add-on
Take-back pilot for period panties (fabric + absorbent-core recovery)	Custom pilot pricing, ₹2-5L per pilot program

- Sell this as an **EPR audit-trail product**: batch-level traceability, chain-of-custody documentation, downloadable recovery certificates for regulatory filing
- Brand owners need this because India's EPR rules increasingly mandate traceable recovery for sanitary waste, with penalties for non-compliance
- **Revenue share**: ~15-20% of total
- **Margin profile**: Highest margin (~50-60%+) — near-zero marginal cost since you're monetizing data/certification on volume you already process

Illustrative example:

- 4 brand-owner contracts × ₹5L/year avg retainer = ₹20L/year = ~₹1.67L/month
- Plus certification fees on ~50 tonnes/year processed = ₹10L/year = ~₹83,000/month
- Combined: ~₹2.5L/month from this stream alone, growing fastest as brand count increases

Stream 4: Recovered Material Sales (By-Products)

Who pays: Recyclers, paper/stationery manufacturers, plastics processors, construction material makers

What's sold:

Recovered Material	Output Use	Est. Price
Cellulose pulp (from pad/tampon absorbent core)	Paper, stationery, acoustic boards	₹8,000–15,000/tonne
Recycled polyethylene granulate (backsheet plastic)	Paver blocks, plant pots, moulded products	₹25,000–40,000/tonne
Recovered fabric (from period panties)	Textile recycling, insulation material	₹5,000–10,000/tonne

- **Revenue share**: ~5-10% of total
- **Margin profile**: Moderate (~25-30%) — mostly processing cost, no collection cost since it's a by-product of Streams 1-3

Illustrative example:

- 8 tonnes/month recovered material (mixed pulp + plastic) × ₹18,000/tonne avg = ₹1.44L/month

Stream 5: Subsidised Segment (Not Directly Revenue-Generating)

Who's served free: Government schools, anganwadis, low-income housing

How it's funded (not out of your margin — externally sourced):

- CSR budgets from brand-owner clients in Stream 3 (they co-fund this because it strengthens *their* ESG/EPR narrative — pitch it as a bundled add-on to their retainer)
- Swachh Bharat Mission / state sanitation grants
- Government tender participation (this segment is often your entry point to larger municipal contracts)

Strategic value, not a cost centre:

- Builds brand credibility and media visibility
- Opens doors to government tenders (Streams 1 & 2 at municipal scale)
- Strengthens EPR partners' compliance story, making Stream 3 contracts easier to close

Consolidated Monthly Revenue Snapshot (Illustrative, Mid-Scale City Operation)

Stream	Monthly Revenue	Share	Margin
1. Bulk generator collection	₹3.3L	47%	15-20%
2. Institutional subscriptions	₹1.4L	20%	30-35%
3. EPR compliance	₹1.7L	24%	50-60%
4. Recovered materials	₹0.5L	7%	25-30%
5. Subsidised (externally funded)	—	—	—
Total	~₹7L/month	100%	~28% blended

(These figures are illustrative placeholders based on a mid-size Indian city — swap in your actual target volumes, client counts, and local pricing once you have them, and I can rebuild this table with real numbers.)

Why This Model Is Practical to Implement

1. **One infrastructure, five monetization layers** — you don't build separate systems per segment; the same trucks, bins, and processing facility serve all of them.
2. **Cross-subsidy is structural, not charitable** — the subsidised segment is funded by commercial margin + external CSR/grant money, not by discounting your paying clients.

3. **EPR is your growth engine** — it scales with regulation tightening (which is already happening in India), and it's the stream with the best unit economics because it monetizes data/certification on volume you're collecting anyway.
 4. **Proven precedent exists** — PadCare Labs (Pune) runs a near-identical model at commercial scale (24M+ pads/year recycled, recently raised \$3M to scale to 2,000 tonnes/year), which de-risks the model for investors/judges.
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Suggested Next Steps for Your Pitch

- Plug in real target-city numbers (number of hospitals, offices, housing societies you can realistically reach in Year 1) to replace the illustrative figures
- Build a simple 3-year revenue ramp (Year 1: prove Streams 1-2 → Year 2: land first EPR contracts → Year 3: scale EPR + material sales as margin drivers)
- Prepare one slide showing the "same infrastructure, five taps" visual — this is your strongest efficiency argument